

Simple Interest: Formula & Real Bank Rates

Learn how banks calculate interest with fun examples!



What is Simple Interest?

Simple interest is the interest calculated only on the original amount of money you deposit or borrow — this original amount is called the principal. Unlike other types of interest, it doesn't add interest on top of interest!

Learning this helps you understand everyday money matters!



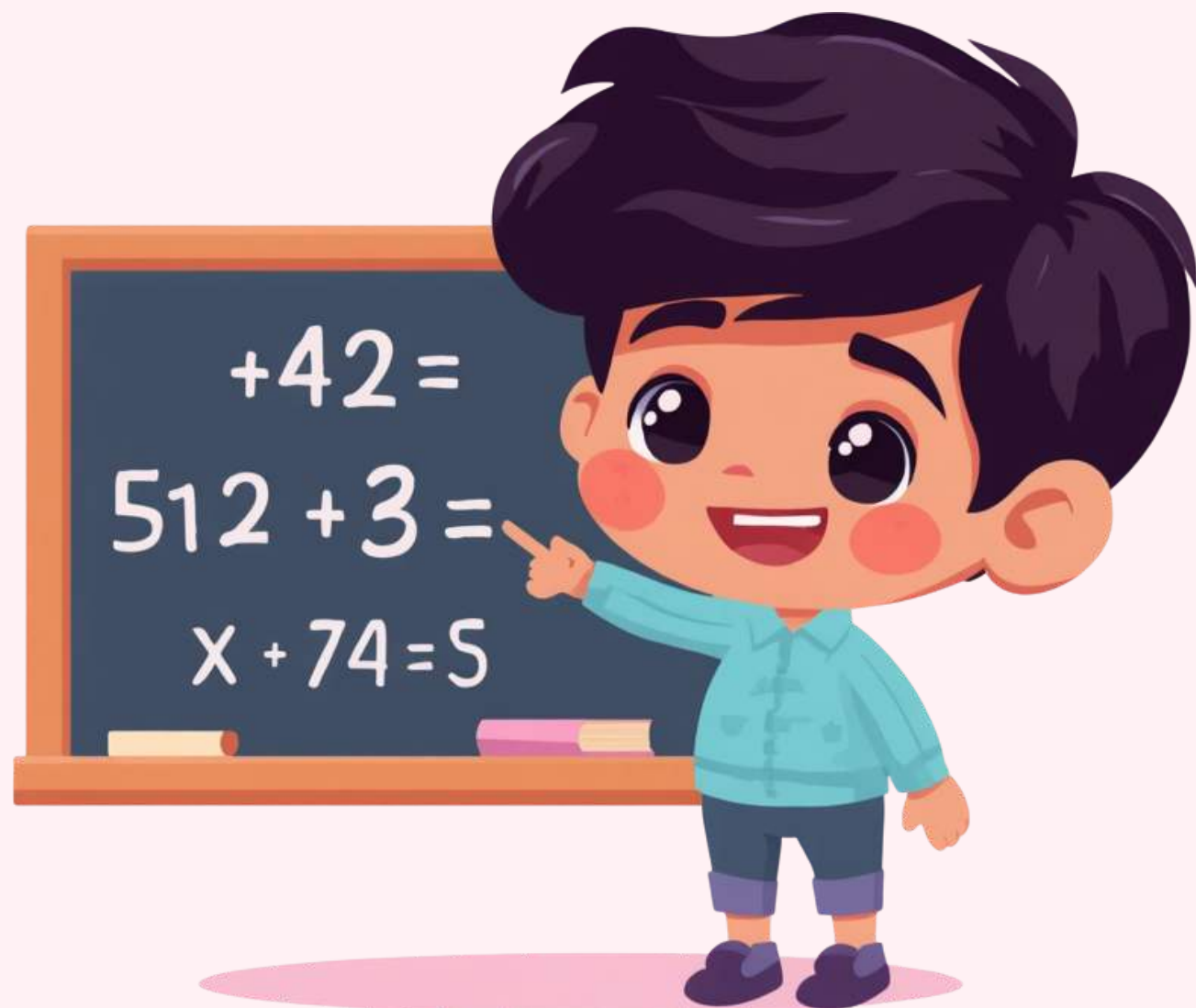
Why Simple Interest Matters

Used in some bank loans and fixed deposits

Easy to calculate and understand

Helps plan savings and borrowing decisions wisely.





The Simple Interest Formula

$$SI = (P \times R \times T) \div 100$$

P = Principal (initial amount)

R = Rate per year (%)

T = Time in years



Step 1: Set Up Your Calculation

Let's calculate simple interest for ₹10,000 at 5% per annum for 3 years. First, identify: Principal (P) = ₹10,000, Rate (R) = 5%, Time (T) = 3 years.





Step 2: Calculate the Simple Interest

Multiply: $10,000 \times 5 \times 3 = 1,50,000$

Divide by 100: $1,50,000 \div 100 = ₹1,500$

Your Simple Interest is ₹1,500!





Result & Explanation

Simple Interest = ₹1,500

Total amount after 3 years = Principal + Interest

₹10,000 + ₹1,500 = ₹11,500

You earned ₹1,500 just by keeping your money in the bank!

Simple Interest in Real Banks

Some banks offer fixed deposits or loans with simple interest. This makes it easy to know exactly how much you'll earn or pay. In India, real bank rates for simple interest typically range from approximately 4% to 7% per annum.

Example: A fixed deposit at 5% earns ₹500 on ₹10,000 in 1 year!



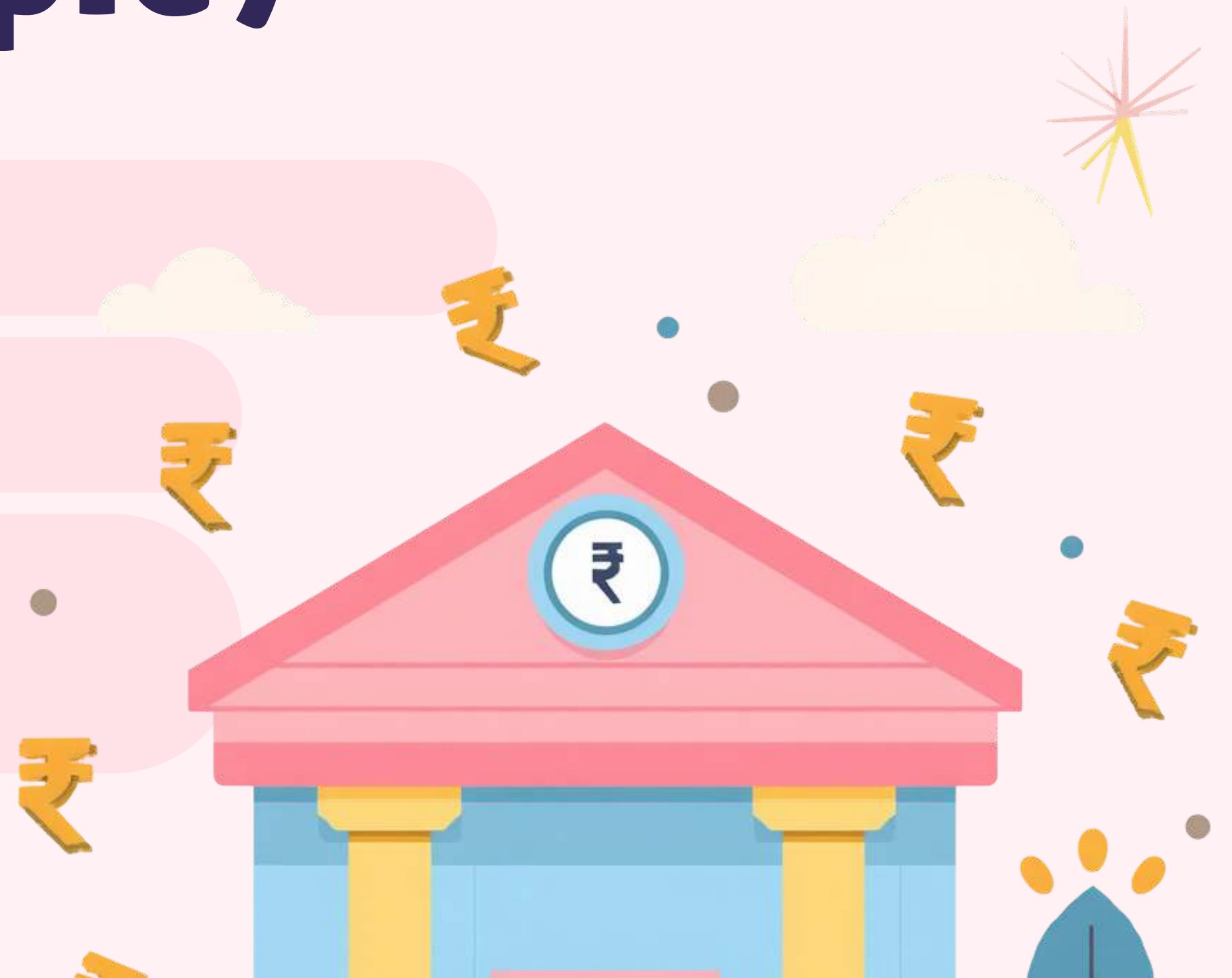
Real-Time Bank Interest Rates (Example)

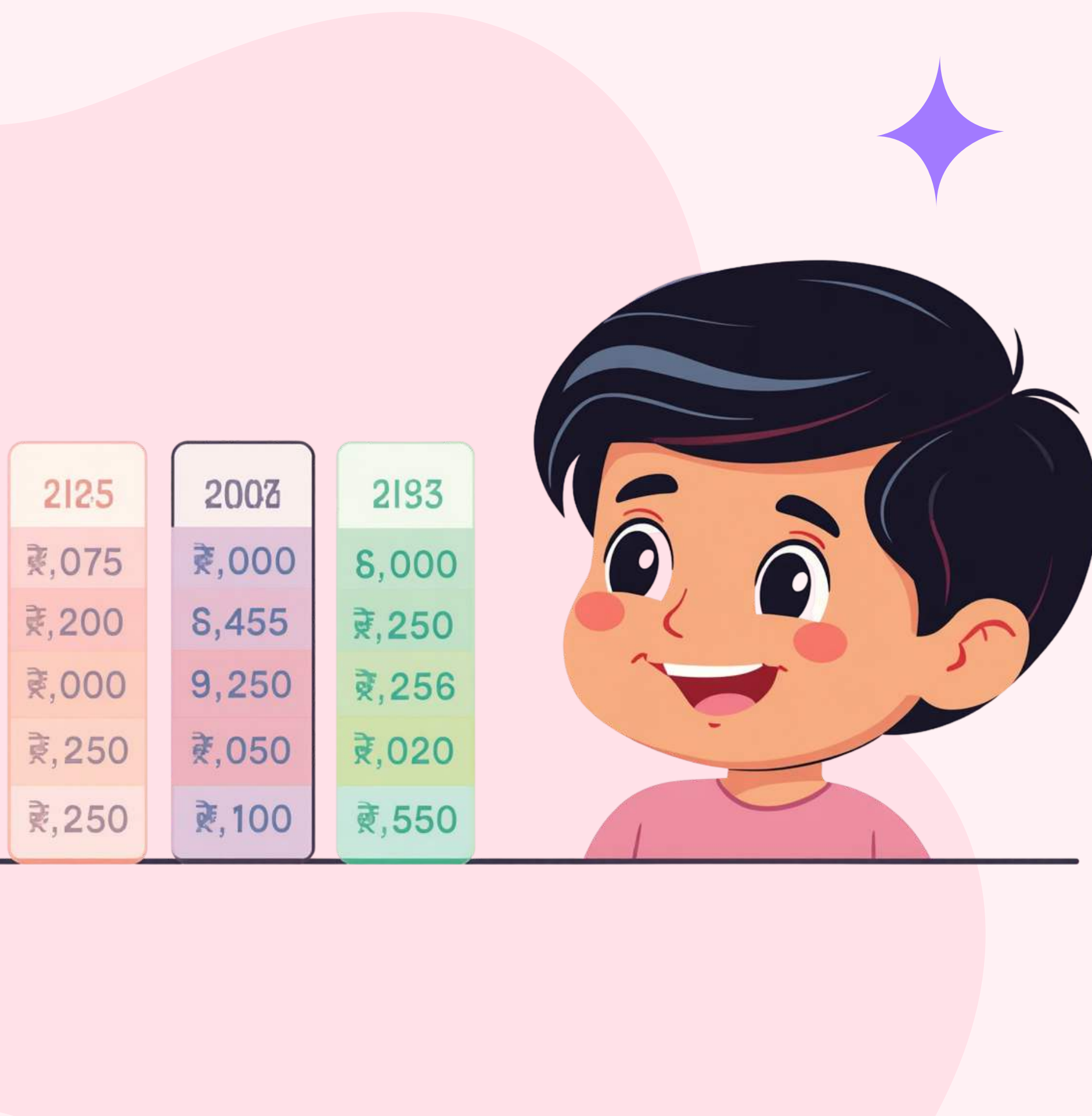
Bank A: 4.5% per annum

Bank B: 5.0% per annum

Bank C: 6.0% per annum

Bank D: 6.5% per annum





Comparing Bank Rates & What They Mean

Higher interest rates earn you more money on deposits! Choosing the right rate affects your total savings. For example, ₹10,000 at 5% earns ₹500 in one year, but at 6% earns ₹600!

Benefits of Simple Interest

Easy to understand and calculate for everyone

Transparent and predictable interest cost

Good for short-term loans or fixed deposits where simplicity matters.



Limitations of Simple Interest



Does not account for interest on interest (no compounding)

Less beneficial for long-term investments

Interest amount stays fixed regardless of how long you save or invest.



Quick Quiz — Test Your Understanding!

If you invest ₹5,000 at 6% simple interest for 2 years, how much interest will you earn?

- a) ₹600
- b) ₹500
- c) ₹700





Quiz Answer Explained

Correct Answer: ₹600

Calculation: $(5000 \times 6 \times 2) \div 100 =$
₹600

Great job if you got it right! Keep practicing more problems.

Summary — What We Learned



Simple Interest = $(\text{Principal} \times \text{Rate} \times \text{Time}) \div 100$

Real bank rates in India vary from 4% to 7% per annum

Simple interest is easy to calculate but doesn't include compounding benefits.





Thank You!

